



Carlo Ferrara
Street Smart Risk

Carlo,

Enclosed you will find an annual **admitted** renewal Commercial Package quote for Max and Shahz LLC. The Expiring policy number is CP 1902854 and the expiration date is 11/5/2026.

- Section I-** Details the premiums, taxes and fees associated with this account. In addition, it provides the Underwriting Notes and covers any of the additional underwriting information that might be needed prior to binding or within 21 days of the inception date.
- Section II-** Summarizes the locations, building information, property coverages, warranties, and the corresponding classifications with the exposures and rates.
- Section III-** Provides the Liability Limits of Insurance
- Section IV-** Lists the required coverage forms, notices, endorsements and exclusions.
- Section V-** Offers optional coverages that are available to the applicant but are not currently included in the quote.
- Section VI-** Provides the Direct Bill Payment Description.

In addition we have included some materials that will assist in the evaluation of this offer of coverage.

- Endorsement TRIADN Disclosure Notice of Terrorism Insurance Coverage for your review.
- Endorsement CP 118 Actual Cash Value - Roof for your review.
- Endorsement CP1010 Causes Of Loss - Basic Form for your review.
- Endorsement CP 110 Equipment Breakdown Enhancement Endorsement for your review.
- Endorsement CP 250 Theft Exclusion for your review.
- Endorsement CP 226 Absolute Exclusion for Pollution for your review.
- Endorsement L-599 NJ Absolute Exclusion for Pollution, Infectious Agent, Mold, Silica, and Asbestos with a Hostile Fire Exception for Pollution Only and with a Food Borne Illness Exception for your review.
- A Point of Sale piece that provides some claims scenarios this account may encounter and a coverage checklist that can be compared to the quotation of another carrier.

The carrier will send the insured an invoice based on the terms reflected in this quote.
Payment is due to the carrier by the expiration date in order to renew coverage.

Payment options available to you are:

1. Send the invoice remittance slip with payment to the lockbox address on their invoice
2. Pay online at www.usli.com/ezpay.
3. Pay by phone (automated system available 24/7) at 866-632-2003

The policyholder can register their policy at www.usli.com/ezpay. By registering their policy, the insured will have access to additional information as well as the option to set-up recurring payments. Recurring payments are a great way to minimize the possibility of the insureds policy being cancelled or not renewed because payment was not received.

Please advise your agent as soon as possible if changes are needed or optional coverages are desired.



MORSTAN GENERAL AGENCY
1261 Headquarters Plaza, West Tower, 6th Floor
Morristown, NJ 07960
(732) 726-1400 Fax: (516) 708-2763

We invite you to contact us to discuss the benefits of any coverages, the costs associated or simply to provide feedback! We welcome the opportunity to talk with you about this quote.

Thank you for the opportunity to renew this coverage with you!

Sincerely,
Renewals - Morstan (NY)
MORSTAN GENERAL AGENCY
(732) 726-1400



MCP026G32M7

Quote is valid until 11/5/2026

Re: **Max and Shahz LLC**
Renewal of: CP 1902854 - Expiration Date: 11/5/2026

To: Street Smart Risk

Attn: Carlo Ferrara
Commission: _____%

From: Renewals - Morstan (NY)

uslipolny@morstan.com / (732) 726-1400

Confirm optional coverages:

- ☐ Do not include any optional coverages.
☐ Include the following optional coverages
(Taxes & Fees may apply to optional premium if purchased)
☐ Option 1 - (add: *\$246.00) - Terrorism Coverage
*See Terrorism Section for Exact Pricing and Terms

****DIRECT BILL RENEWAL****

The policyholder will be invoiced 45 days prior to expiration.

This renewal will be invoiced with 3 installments. A \$5.00 installment fee will apply to each installment after the first.

This quote is for informational purposes only - do not bill or collect payment.

Please advise as soon as possible if changes are needed or optional coverages are desired.

I. PREMIUM AND UNDERWRITING NOTES/REQUIREMENTS

COMMERCIAL PACKAGE POLICY INFORMATION	
Carrier:	United States Liability Insurance Company
Status:	Admitted
A.M. Best Rating:	A++ (Superior) - XIV
Term Quoted:	Annual
COVERAGE PART	PREMIUM
Commercial Property	\$4,332.00
Commercial General Liability	\$570.00
TOTAL PREMIUM DUE TO CARRIER	\$4,902.00
ADDITIONAL COSTS	
Wholesaler Broker Fee	\$0.00
New Jersey NJGA Surcharge (.250%)	\$12.26
TOTAL AMOUNT DUE	\$4,914.26

FREE AND DISCOUNTED BUSINESS SERVICES AVAILABLE TO USLI INSURED - VISIT BIZRESOURCECENTER.COM FOR DETAILS

The premium quoted was calculated based on information provided by you in your application for insurance. The premium quoted may be adjusted based on an audit of your books and records during and/or at the conclusion of the policy period to determine actual receipts, payroll and other factors used to calculate earned premium.

Please contact us with any questions regarding the terminology used or the coverages provided.

****Read the quote carefully, it may not match the coverages requested****

This account is subject to the following - Sections A, B and C:

Please note that we will not be able to bind coverage until we satisfy all Prior to Binding requirements.

A. Prior To Bind Requirements:

- No Prior to Bind Requirements

B. Items Required Within 21 days of the inception of coverage:

- No Items Required Within 21 Days

C. Underwriting Notes:

- ***We are unable to offer Special Cause of Loss on this policy due to the shingle roof age being over 20 years old. We are agreeable to offering renewal terms subject to the addition of the following forms:
- CP 1010 Cause of Loss Basic Form (06/07)
- CP 250 Theft Exclusion (04/17)
- CP 118 Actual Cash Value Roof (11/04)
- CP 110 Equipment Breakdown Enhancement Endorsement (10/12)

II. COVERED LOCATION(S) AND CORRESPONDING CLASSIFICATIONS

Location #1 - 4451 Banard Road, Newfield, NJ 08344

Construction: Frame / Protection Class: 4

Property Coverage

Perils: Basic Excluding Sprinkler Leakage

Coverage	Limit	Coinsurance	Deductible	Valuation	Rate	Premium
Building	\$450,000	80%	\$2,500	Replacement Cost/ACV Roof	0.801	\$3,604
Building Improvements	\$50,000	100%	\$2,500	Replacement Cost	0.721	\$360
Equipment Breakdown	Included		\$1,000		316.000	\$316
Shed/Gazebo	\$6,500	80%	\$2,500	Replacement Cost	0.801	\$52
Fungus, wet rot, dry rot, and bacteria limited coverage	\$15,000	80%	\$2,500	Not Applicable		Included

Property Coverage Premium for Location #1: \$4,332

Coverage provided by Equipment Breakdown

Mechanical Breakdown,Electrical Arcing

Loss or damage to hot water boilers & steam equipment

Steam explosion of boilers, piping, engines & turbines

\$250,000 limit for Perishable Goods Spoilage

\$250,000 limit for Refrigeration Contamination

Warranted Property Conditions

- Premises Fully Secured and Locked When Not in Use [P-21]
- No structural work for the load bearing members of the building. [P-19]

Please contact us with any questions regarding the terminology used or the coverages provided.

Read the quote carefully, it may not match the coverages requested

Description	Fire Code	Class Code	Basis	Exposure	Prod/CompOps Rate	All Other Rate	Prod/CompOps Premium	All Other Premium
Vacant Buildings - not factories - Other than Not-For-Profit	1180	68606	Total Area	3,500	Excl	63.000	Excl	\$220
				Per 1,000 Total Area				
Additional Insured - Mortgagee, Assignee or Receiver		49950	Flat	1	Excl	0.000	Excl	Incl
				Flat				
Contractors - subcontracted work - in connection with renovating Vacant Buildings		91592	Total Cost	50,000	Excl	4.025	Excl	\$350 MP
				Per 1,000 Total Cost				

Liability Coverage Premium for Location #1: \$570

Total for Location: \$4,902

III. LIABILITY LIMITS OF INSURANCE

COMMERCIAL GENERAL LIABILITY

Each Occurrence	\$1,000,000
Personal Injury and Advertising Injury	\$1,000,000
Medical Expense (Any One Person)	\$5,000
Damage To Premises Rented to You	\$100,000
Products/Completed Ops Aggregate	Excluded
General Aggregate	\$2,000,000
General Liability Deductible	\$0

IV. REQUIRED FORMS & ENDORSEMENTS

Common Endorsements

IL0017	(11/98) Common Policy Conditions	L-395	(11/05) Vacant Building Protection Warranty
IL0208	(09/07) New Jersey Changes - Cancellation And Nonrenewal	TRIADN	(12/20) Disclosure Notice of Terrorism Insurance Coverage
Jacket	(07/19) Policy Jacket		

Please contact us with any questions regarding the terminology used or the coverages provided.

Read the quote carefully, it may not match the coverages requested

Property Endorsements

*CP 110	(10/12) Equipment Breakdown Enhancement Endorsement	CP0090	(07/88) Commercial Property Conditions
*CP 118	(11/04) Actual Cash Value - Roof	CP0140	(07/06) Exclusion Of Loss Due To Virus Or Bacteria
CP 132	(10/08) Mortgagee/Loss Payable Provisions	CP0450	(07/88) Vacancy Permit
CP 138 NJ	(02/08) Lead Exclusion - New Jersey	*CP1010	(06/07) Causes Of Loss - Basic Form
CP 141 DEP	(04/20) Changes - Actual Cash Value and Depreciation Definition	CP1032	(08/08) Water Exclusion Endorsement
CP 142	(04/14) Protective Devices Or Services Provisions	CP1056	(06/07) Sprinkler Leakage Exclusion
CP 147 NJ	(08/16) Limitation Coverage For Fungus, Wet Rot, Dry Rot And Bacteria	CP1075	(12/20) Cyber Incident Exclusion
CP 224	(10/21) Asbestos Material Exclusion	IL0111	(11/03) New Jersey Changes
**CP 226	(09/25) Absolute Exclusion for Pollution	IL0935	(07/02) Exclusion Of Certain Computer-Related Losses
CP 245	(09/15) Earth Movement Exclusion	Notice-Cyber Incident Excl-CY	(10/20) Cyber Incident Exclusion Endorsement Advisory Notice to Policyholders
*CP 250	(04/17) Theft Exclusion	P 248	(12/20) Exclusion of Certified Acts of Terrorism (Coverage for Certain Fire Losses)
CP0010	(06/07) Building And Personal Property Coverage Form		

General Liability Endorsements

CG 21 06	(12/23) Exclusion - Access or Disclosure of Confidential or Personal Material or Information	L-232s	(09/05) Classification Limitation Endorsement
CG0001	(12/07) Commercial General Liability Coverage Form	L-278 VAC	(12/14) Independent Contractors/Subcontractors Exclusion
CG0068	(05/09) Recording And Distribution Of Material Or Information In Violation Of Law Exclusion	L-500	(12/17) Bodily Injury Exclusion - All Employees, Volunteer Workers, Temporary Workers, Casual Laborers, Contractors And Subcontractors
CG2018	(04/13) Additional Insured - Mortgagee, Assignee or Receiver	L-526	(01/15) Absolute War Or Terrorism Exclusion
CG2104	(11/85) Exclusion - Products-Completed Operations Hazard	L-532 VAC	(12/14) Exclusion - Construction Operations
CG2109	(06/15) Exclusion – Unmanned Aircraft	L-540	(11/09) Exclusion - Exterior Work Over 50 Feet
CG2136	(03/05) Exclusion - New Entities	**L-599 NJ	(08/25) Absolute Exclusion for Pollution, Infectious Agent, Mold, Silica, and Asbestos with a Hostile Fire Exception for Pollution Only and with a Food Borne Illness Exception
CG2139	(10/93) Contractual Liability Limitation	L-600	(08/05) Pre-Existing Or Progressive Damage Or Defect Exclusion
CG2144	(04/17) Limitation of Coverage to Designated Premises, Project or Operation	L-610	(11/04) Expanded Definition Of Bodily Injury
CG2147	(12/07) Employment-Related Practices Exclusion	L-783	(02/14) Amendment Of Liquor Liability Exclusion
CG2620	(10/93) New Jersey Changes - Loss Information	L-819	(09/18) Swimming Pool, Hot Tub or Spa Exclusion
CG4032	(05/23) Exclusion - Perfluoroalkyl and Polyfluoroalkyl Substances (PFAS)	LLQ-100	(07/06) Amendatory Endorsement
IL0021	(09/08) Nuclear Energy Liability Exclusion Endorsement	LLQ-368	(08/10) Separation Of Insureds Clarification Endorsement
IL0141	(09/08) New Jersey Changes - Civil Union		

For your convenience we have marked the endorsements that have changed for this coming term. Those marked with 1 asterisk (*) are new forms not previously included on this account. Those marked with 2 asterisks (**) are forms that have been on the policy, however have updated language.

Please contact us with any questions regarding the terminology used or the coverages provided.

****Read the quote carefully, it may not match the coverages requested****

V. OFFER OF OPTIONAL COVERAGE(S)

Based on the information provided, the following additional coverages are available to this applicant but are not currently included in the quotation. The additional premium may be subject to taxes & fees. For a firm final amount please contact us and we will revise the quote.

Coverage		Additional Premium
Option 1	Terrorism Coverage	\$246.00

Important Information

- Terrorism coverage, per the Terrorism Risk Insurance Program Reauthorization Act, is available for an additional premium of \$100 or 5.00% of the total applicable premium, whichever is greater. If not purchased, please provide the signed TRIADN Disclosure Notice or add form NTE - Notice of Terrorism Exclusion. When making your decision to purchase Terrorism Coverage, please be aware that coverage for "insured losses" as defined by the Act is subject to the coverage terms, conditions, amount, and limits in this policy applicable to losses arising from events other than acts of terrorism.
- The Terrorism premium shown above has been calculated as a percentage of the quoted coverages. If any coverages are added or removed at binding, the additional premium shown above is subject to change.

VI. DIRECT BILL PAYMENT PLAN DESCRIPTIONS

One Year Payment Plan Descriptions:	
THREE PAYMENTS	- 40% of the premium is invoiced immediately; the balance is invoiced in two equal installments approximately 4 months and 7 months after inception.

A detailed installment schedule will be included with the first invoice. An installment fee as noted on page 1 of this quote applies to each installment after the first.

Please contact us with any questions regarding the terminology used or the coverages provided.

Read the quote carefully, it may not match the coverages requested

POLICYHOLDER DISCLOSURE NOTICE OF TERRORISM INSURANCE COVERAGE

You are hereby notified that under the Terrorism Risk Insurance Act ("the Act"), as amended, you have a right to purchase insurance coverage for losses arising out of acts of terrorism. *As defined in Section 102(1) of the Act:* The term "act of terrorism" means any act or acts that are certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security, and the Attorney General of the United States, to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

You should know that any coverage for losses caused by certified acts of terrorism is partially reimbursed by the United States under a formula established by federal law. Under this formula, the United States reimburses 80% of covered terrorism losses exceeding the statutorily established deductible paid by the insurance company providing the coverage. The premium charged for this coverage is provided below and does not include any charges for the portion of loss covered by the federal government under the Act.

Coverage for "insured losses", as defined in the Act, is subject to the coverage terms, conditions, amounts and limits in this policy applicable to losses arising from events other than acts of terrorism.

You should know that the Act, as amended, contains a \$100 billion cap that limits U.S. Government reimbursement, as well as insurers' liability, for losses resulting from certified acts of terrorism when the amount of such losses in any one calendar year exceeds \$100 billion. If the aggregate insured losses for all insurers exceed \$100 billion in any one calendar year, your coverage may be reduced.

You should also know that, under federal law, you are not required to purchase coverage for losses caused by certified acts of terrorism.

REJECTION OR SELECTION OF TERRORISM INSURANCE COVERAGE

Note: In the states of California, Georgia, Hawaii, Illinois, Iowa, Maine, North Carolina, Oregon, Washington, West Virginia and Wisconsin, our terrorism exclusion makes an exception for fire losses resulting from an Act of Terrorism. In these states, if you decline to purchase Terrorism Coverage, you still have coverage for fire losses resulting from an Act of Terrorism.

Please "X" one of the boxes below and return this notice to the Company.

☐	I decline to purchase Terrorism Coverage. I understand that I will have no coverage for losses arising from acts of Terrorism.
☐	I elect to purchase coverage for certified acts of Terrorism for a premium of \$ _____.

Applicant Name (Print)

Named Insured

Authorized Signature

Date

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

This endorsement modifies insurance provided under the following:

**BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM**

ACTUAL CASH VALUE – ROOF

With respects to the Building and Personal Property Coverage Form and/or the Condominium Commercial Unit-Owners Coverage Form the following is added to: G. Optional Coverages, 3. Replacement Cost:

- b.** This Optional Coverage does not apply to:
(5) Roof(s) and/or roof coverings.

With respects to the Condominium Association Coverage Form the following is added to: G. Optional Coverages, 3. Replacement Cost:

- b.** This Optional Coverage does not apply to:
(4) Roof(s) and/or roof coverings.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of your Policy and takes effect on the effective date of your Policy unless another effective date is shown.

CAUSES OF LOSS – BASIC FORM

A. Covered Causes Of Loss

When Basic is shown in the Declarations, Covered Causes of Loss means the following:

1. Fire.
2. Lightning.
3. Explosion, including the explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass. This cause of loss does not include loss or damage by:
 - a. Rupture, bursting or operation of pressure-relief devices; or
 - b. Rupture or bursting due to expansion or swelling of the contents of any building or structure, caused by or resulting from water.
4. Windstorm or Hail, but not including:
 - a. Frost or cold weather;
 - b. Ice (other than hail), snow or sleet, whether driven by wind or not; or
 - c. Loss or damage to the interior of any building or structure, or the property inside the building or structure, caused by rain, snow, sand or dust, whether driven by wind or not, unless the building or structure first sustains wind or hail damage to its roof or walls through which the rain, snow, sand or dust enters.
5. Smoke causing sudden and accidental loss or damage. This cause of loss does not include smoke from agricultural smudging or industrial operations.
6. Aircraft or Vehicles, meaning only physical contact of an aircraft, a spacecraft, a self-propelled missile, a vehicle or an object thrown up by a vehicle with the described property or with the building or structure containing the described property. This cause of loss includes loss or damage by objects falling from aircraft.

We will not pay for loss or damage caused by or resulting from vehicles you own or which are operated in the course of your business.
7. Riot or Civil Commotion, including:
 - a. Acts of striking employees while occupying the described premises; and
 - b. Looting occurring at the time and place of a riot or civil commotion.
8. Vandalism, meaning willful and malicious damage to, or destruction of, the described property.

We will not pay for loss or damage caused by or resulting from theft, except for building damage caused by the breaking in or exiting of burglars.
9. Sprinkler Leakage, meaning leakage or discharge of any substance from an Automatic Sprinkler System, including collapse of a tank that is part of the system.

If the building or structure containing the Automatic Sprinkler System is Covered Property, we will also pay the cost to:

 - a. Repair or replace damaged parts of the Automatic Sprinkler System if the damage:
 - (1) Results in sprinkler leakage; or
 - (2) Is directly caused by freezing.
 - b. Tear out and replace any part of the building or structure to repair damage to the Automatic Sprinkler System that has resulted in sprinkler leakage.

Automatic Sprinkler System means:

 - (1) Any automatic fire-protective or extinguishing system, including connected:
 - (a) Sprinklers and discharge nozzles;
 - (b) Ducts, pipes, valves and fittings;
 - (c) Tanks, their component parts and supports; and
 - (d) Pumps and private fire protection mains.
 - (2) When supplied from an automatic fire-protective system:
 - (a) Non-automatic fire-protective systems; and
 - (b) Hydrants, standpipes and outlets.

10. Sinkhole Collapse, meaning loss or damage caused by the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or dolomite. This cause of loss does not include:

- a. The cost of filling sinkholes; or
- b. Sinking or collapse of land into man-made underground cavities.

11. Volcanic Action, meaning direct loss or damage resulting from the eruption of a volcano when the loss or damage is caused by:

- a. Airborne volcanic blast or airborne shock waves;
- b. Ash, dust or particulate matter; or
- c. Lava flow.

All volcanic eruptions that occur within any 168-hour period will constitute a single occurrence.

This cause of loss does not include the cost to remove ash, dust or particulate matter that does not cause direct physical loss or damage to the described property.

B. Exclusions

1. We will not pay for loss or damage caused directly or indirectly by any of the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

a. Ordinance Or Law

The enforcement of any ordinance or law:

- (1) Regulating the construction, use or repair of any property; or
- (2) Requiring the tearing down of any property, including the cost of removing its debris.

This exclusion, Ordinance Or Law, applies whether the loss results from:

- (a) An ordinance or law that is enforced even if the property has not been damaged; or
- (b) The increased costs incurred to comply with an ordinance or law in the course of construction, repair, renovation, remodeling or demolition of property, or removal of its debris, following a physical loss to that property.

b. Earth Movement

- (1) Earthquake, including any earth sinking, rising or shifting related to such event;
- (2) Landslide, including any earth sinking, rising or shifting related to such event;

- (3) Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;

- (4) Earth sinking (other than sinkhole collapse), rising or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface.

But if Earth Movement, as described in **b.(1)** through **(4)** above, results in fire or explosion, we will pay for the loss or damage caused by that fire or explosion.

- (5) Volcanic eruption, explosion or effusion. But if volcanic eruption, explosion or effusion results in fire or Volcanic Action, we will pay for the loss or damage caused by that fire or Volcanic Action.

c. Governmental Action

Seizure or destruction of property by order of governmental authority.

But we will pay for loss or damage caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread, if the fire would be covered under this Coverage Part.

d. Nuclear Hazard

Nuclear reaction or radiation, or radioactive contamination, however caused.

But if nuclear reaction or radiation, or radioactive contamination, results in fire, we will pay for the loss or damage caused by that fire.

e. Utility Services

The failure of power, communication, water or other utility service supplied to the described premises, however caused, if the failure:

- (1) Originates away from the described premises; or
- (2) Originates at the described premises, but only if such failure involves equipment used to supply the utility service to the described premises from a source away from the described premises.

Failure of any utility service includes lack of sufficient capacity and reduction in supply.

Loss or damage caused by a surge of power is also excluded, if the surge would not have occurred but for an event causing a failure of power.

But if the failure or surge of power, or the failure of communication, water or other utility service, results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

Communication services include but are not limited to service relating to Internet access or access to any electronic, cellular or satellite network.

f. War And Military Action

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

g. Water

- (1) Flood, surface water, waves, tides, tidal waves, overflow of any body of water, or their spray, all whether driven by wind or not;
- (2) Mudslide or mudflow;
- (3) Water that backs up or overflows from a sewer, drain or sump; or
- (4) Water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings.

But if Water, as described in **g.(1)** through **(4)** above, results in fire, explosion or sprinkler leakage, we will pay for the loss or damage caused by that fire, explosion or sprinkler leakage.

h. "Fungus", Wet Rot, Dry Rot And Bacteria

Presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria.

But if "fungus", wet or dry rot or bacteria results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

This exclusion does not apply:

1. When "fungus", wet or dry rot or bacteria results from fire or lightning; or
2. To the extent that coverage is provided in the Additional Coverage – Limited Coverage For "Fungus", Wet Rot, Dry Rot And Bacteria with respect to loss or damage by a cause of loss other than fire or lightning.

Exclusions **B.1.a.** through **B.1.h.** apply whether or not the loss event results in widespread damage or affects a substantial area.

2. We will not pay for loss or damage caused by or resulting from:

a. Artificially generated electrical, magnetic or electromagnetic energy that damages, disturbs, disrupts or otherwise interferes with any:

- (1) Electrical or electronic wire, device, appliance, system or network; or
- (2) Device, appliance, system or network utilizing cellular or satellite technology.

For the purpose of this exclusion, electrical, magnetic or electromagnetic energy includes but is not limited to:

- (a) Electrical current, including arcing;
- (b) Electrical charge produced or conducted by a magnetic or electromagnetic field;
- (c) Pulse of electromagnetic energy; or
- (d) Electromagnetic waves or micro-waves.

But if fire results, we will pay for the loss or damage caused by that fire.

- b.** Rupture or bursting of water pipes (other than Automatic Sprinkler Systems) unless caused by a Covered Cause of Loss.

- c. Leakage or discharge of water or steam from any part of a system or appliance containing water or steam (other than an Automatic Sprinkler System), unless the leakage or discharge occurs because the system or appliance was damaged by a Covered Cause of Loss. But we will not pay for loss or damage caused by or resulting from continuous or repeated seepage or leakage of water, or the presence or condensation of humidity, moisture or vapor, that occurs over a period of 14 days or more.
- d. Explosion of steam boilers, steam pipes, steam engines or steam turbines owned or leased by you, or operated under your control.
But if explosion of steam boilers, steam pipes, steam engines or steam turbines results in fire or combustion explosion, we will pay for the loss or damage caused by that fire or combustion explosion.
- e. Mechanical breakdown, including rupture or bursting caused by centrifugal force.
But if mechanical breakdown results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.
- f. Neglect of an insured to use all reasonable means to save and preserve property from further damage at and after the time of loss.

3. Special Exclusions

The following provisions apply only to the specified Coverage Forms.

a. Business Income (And Extra Expense) Coverage Form, Business Income (Without Extra Expense) Coverage Form, Or Extra Expense Coverage Form

We will not pay for:

- (1) Any loss caused by or resulting from:
 - (a) Damage or destruction of "finished stock"; or

- (b) The time required to reproduce "finished stock".

This exclusion does not apply to Extra Expense.

- (2) Any loss caused by or resulting from direct physical loss or damage to radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers.
- (3) Any increase of loss caused by or resulting from:
 - (a) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons; or
 - (b) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the "suspension" of "operations", we will cover such loss that affects your Business Income during the "period of restoration" and any extension of the "period of restoration" in accordance with the terms of the Extended Business Income Additional Coverage and the Extended Period of Indemnity Optional Coverage or any variation of these.
- (4) Any Extra Expense caused by or resulting from suspension, lapse or cancellation of any license, lease or contract beyond the "period of restoration".

- (5) Any other consequential loss.

b. Leasehold Interest Coverage Form

- (1) Paragraph B.1.a., Ordinance Or Law, does not apply to insurance under this Coverage Form.
- (2) We will not pay for any loss caused by:
 - (a) Your cancelling the lease;
 - (b) The suspension, lapse or cancellation of any license; or
 - (c) Any other consequential loss.

c. Legal Liability Coverage Form

(1) The following exclusions do not apply to insurance under this Coverage Form:

- (a) Paragraph **B.1.a.**, Ordinance Or Law;
- (b) Paragraph **B.1.c.**, Governmental Action;
- (c) Paragraph **B.1.d.**, Nuclear Hazard;
- (d) Paragraph **B.1.e.**, Utility Services; and
- (e) Paragraph **B.1.f.**, War And Military Action.

(2) The following additional exclusions apply to insurance under this Coverage Form:

(a) Contractual Liability

We will not defend any claim or "suit", or pay damages that you are legally liable to pay, solely by reason of your assumption of liability in a contract or agreement. But this exclusion does not apply to a written lease agreement in which you have assumed liability for building damage resulting from an actual or attempted burglary or robbery, provided that:

- (i) Your assumption of liability was executed prior to the accident; and
- (ii) The building is Covered Property under this Coverage Form.

(b) Nuclear Hazard

We will not defend any claim or "suit", or pay any damages, loss, expense or obligation, resulting from nuclear reaction or radiation, or radioactive contamination, however caused.

C. Additional Coverage – Limited Coverage For "Fungus", Wet Rot, Dry Rot And Bacteria

1. The coverage described in **C.2.** and **C.6.** only applies when the "fungus", wet or dry rot or bacteria is the result of one or more of the following causes that occurs during the policy period and only if all reasonable means were used to save and preserve the property from further damage at the time of and after that occurrence.

- a. A Covered Cause of Loss other than fire or lightning; or
- b. Flood, if the Flood Coverage Endorsement applies to the affected premises.

2. We will pay for loss or damage by "fungus", wet or dry rot or bacteria. As used in this Limited Coverage, the term loss or damage means:

- a. Direct physical loss or damage to Covered Property caused by "fungus", wet or dry rot or bacteria, including the cost of removal of the "fungus", wet or dry rot or bacteria;
- b. The cost to tear out and replace any part of the building or other property as needed to gain access to the "fungus", wet or dry rot or bacteria; and
- c. The cost of testing performed after removal, repair, replacement or restoration of the damaged property is completed, provided there is a reason to believe that "fungus", wet or dry rot or bacteria are present.

3. The coverage described under **C.2.** of this Limited Coverage is limited to \$15,000. Regardless of the number of claims, this limit is the most we will pay for the total of all loss or damage arising out of all occurrences of Covered Causes of Loss (other than fire or lightning) and Flood which take place in a 12-month period (starting with the beginning of the present annual policy period). With respect to a particular occurrence of loss which results in "fungus", wet or dry rot or bacteria, we will not pay more than a total of \$15,000 even if the "fungus", wet or dry rot or bacteria continues to be present or active, or recurs, in a later policy period.

4. The coverage provided under this Limited Coverage does not increase the applicable Limit of Insurance on any Covered Property. If a particular occurrence results in loss or damage by "fungus", wet or dry rot or bacteria, and other loss or damage, we will not pay more, for the total of all loss or damage, than the applicable Limit of Insurance on the affected Covered Property.

If there is covered loss or damage to Covered Property, not caused by "fungus", wet or dry rot or bacteria, loss payment will not be limited by the terms of this Limited Coverage, except to the extent that "fungus", wet or dry rot or bacteria causes an increase in the loss. Any such increase in the loss will be subject to the terms of this Limited Coverage.

5. The terms of this Limited Coverage do not increase or reduce the coverage provided under Paragraph **b.** of Covered Causes Of Loss **9.**, Sprinkler Leakage.
6. The following, **6.a.** or **6.b.**, applies only if Business Income and/or Extra Expense Coverage applies to the described premises and only if the "suspension" of "operations" satisfies all terms and conditions of the applicable Business Income and/or Extra Expense Coverage Form.
 - a. If the loss which resulted in "fungus", wet or dry rot or bacteria does not in itself necessitate a "suspension" of "operations", but such "suspension" is necessary due to loss or damage to property caused by "fungus", wet or dry rot or bacteria, then our payment under Business Income and/or Extra Expense is limited to the amount of loss and/or expense sustained in a period of not more than 30 days. The days need not be consecutive.

- b. If a covered "suspension" of "operations" was caused by loss or damage other than "fungus", wet or dry rot or bacteria but remediation of "fungus", wet or dry rot or bacteria prolongs the "period of restoration", we will pay for loss and/or expense sustained during the delay (regardless of when such a delay occurs during the "period of restoration"), but such coverage is limited to 30 days. The days need not be consecutive.

D. Limitation

We will pay for loss of animals only if they are killed or their destruction is made necessary.

E. Definitions

"Fungus" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.

**UNITED STATES LIABILITY INSURANCE GROUP
WAYNE, PENNSYLVANIA**

This endorsement modifies insurance provided under the following:

**BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
CAUSES OF LOSS –BASIC FORM**

“EQUIPMENT BREAKDOWN” ENHANCEMENT ENDORSEMENT

With respect to “Equipment Breakdown”, this endorsement changes coverage provided by the **BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10**, **CONDOMINIUM ASSOCIATION COVERAGE FORM CP 00 17** or **CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM CP 00 18**, whichever is applicable and the **CAUSES OF LOSS - BASIC FORM CP 10 10** and endorsements thereto. Read the entire endorsement carefully to determine rights, duties and what is and is not covered.

Changes to **BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10**, **CONDOMINIUM ASSOCIATION COVERAGE FORM CP 00 17** or **CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM CP 00 18**, whichever is applicable

The following are added to **F. Additional Conditions**:

Suspension

Whenever **Covered Property** is found to be in, or exposed to, a dangerous condition, any of our representatives may immediately suspend the insurance against loss to that **Covered Property** for the perils covered by this endorsement. Coverage can be suspended and possibly reinstated by delivering or mailing a written notice of suspension / coverage reinstatement to:

- a. Your last known address; or
- b. The address where the property is located.

But if we suspend your insurance, you will get a pro rata refund of premium. But the suspension will be effective even if we have not yet made or offered a refund.

Inspections and Surveys

- a. We have the right to:
 - (1) Make inspections and surveys at any time; and/or
 - (2) Give you reports on the conditions we find; and/or
 - (3) Recommend changes.
- b. are not obligated to make any inspections, surveys, reports or recommendations and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public and we do not warrant that conditions:
 - (1) Are safe or healthful; or
 - (2) Comply with laws, regulations, codes or standards.

- c. Paragraphs **a.** and **b.** of this condition apply not only to us, but also to any rating, advisory, rate service or similar organization, which makes insurance inspections, surveys, reports or recommendations.

“Green” Environmental and Efficiency Improvements

If **Covered Property** requires repair or replacement due to an “Equipment Breakdown”, we will pay:

- a. The lesser of the reasonable and necessary additional cost incurred by the Insured to repair or replace physically damaged **Covered Property** with equipment of like kind and quality that qualifies as “Green”. “Like kind and quality” includes similar size and capacity.
- b. The additional reasonable and necessary fees incurred by the Insured for an accredited professional certified by a “Green Authority” to participate in the repair or replacement of physically damaged **Covered Property** as “Green”.
- c. The additional reasonable and necessary cost incurred by the Insured for certification or recertification of the repaired or replaced **Covered Property** as “Green”.
- d. The additional reasonable and necessary cost incurred by the Insured for “Green” in the removal, disposal or recycling of damaged **Covered Property**.
- e. The business interruption (if covered within the Policy to which this **Equipment Breakdown Enhancement Endorsement – “Green” Environmental and Efficiency Improvements** is attached) loss during the additional time required for repair or replacement of **Covered Property**, consistent with “Green”, in the coverages above.
- f. We will not pay more than one hundred twenty-five percent (125%), to a maximum limit of \$100,000, of what the cost would have been to repair or replace with equipment of like kind and quality inclusive of fees, costs, and any business interruption loss incurred as stated above.

These **“Green” Environmental and Efficiency Improvements** will be part of, and not an addition to, the limit of liability per loss or any other sub-limits of liability of this policy.

“Green” Environmental and Efficiency Improvements is subject to the following conditions:

- a. **Covered Property** does not include stock, raw materials, finished goods, “production machinery”, merchandise, electronic data processing equipment not used in the functional support of the real property, process water, molds and dies, property in the open, property of others for which the Insured is legally liable, or personal property of others.
- b. Losses shall not be adjusted on any valuation basis other than a repair or replacement basis as per the Valuation section of this policy.
- c. “Equipment Breakdown” will not cover any loss covered under any other section of this policy.
- d. “Equipment Breakdown” will not cover any cost incurred due to any law or ordinance with which the Insured was legally obligated to comply prior to the time of the “Equipment Breakdown”.

Changes to **CAUSES OF LOSS - BASIC FORM CP 10 10**

The following is added to **A. Covered Causes of Loss**:

- 12. “Equipment Breakdown”, meaning direct damage to **Covered Property** as follows:

“Equipment Breakdown” as used herein means:

- a. Physical loss or damage both originating within:
 - (1) Boilers, fired or unfired pressure vessels, vacuum vessels, and pressure piping, all normally subject to vacuum or internal pressure other than static pressure of contents, excluding:
 - (a) waste disposal piping; and/or
 - (b) any piping forming part of a fire protective system; and/or
 - (c) furnaces; and
 - (d) any water piping other than:
 - (i) boiler feed water piping between the feed pump and the boiler; or
 - (ii) boiler condensate return piping; or
 - (iii) water piping forming part of a refrigerating or air conditioning system used for cooling, humidifying or space heating purposes.
 - (2) All mechanical, electrical, electronic or fiber optic equipment; and
- b. Caused by, resulting from, or consisting of:
 - (1) Mechanical breakdown; or
 - (2) Electrical or electronic breakdown meaning breakdown from artificially generated electrical current, including electrical arcing, that disturbs electrical devices, appliances or wires; or
 - (3) Rupture, bursting, bulging, implosion, or steam explosion.

However, “Equipment Breakdown” does not mean physical loss or damage caused by or resulting from any of the following; however if loss or damage not otherwise excluded results, then we will pay for such resulting damage:

- (1) Wear and tear;
- (2) Rust or other corrosion, decay, deterioration, hidden or latent defect, mold or any quality in property that causes it to damage or destroy itself;
- (3) Smog;
- (4) Settling, cracking, shrinking or expansion;
- (5) Nesting or infestation, or discharge or release of waste products or secretions, by birds, rodents or other animals;
- (6) The following causes of loss to personal property:
 - (a) dampness or dryness of atmosphere;
 - (b) marring or scratching
- (7) Any accident, loss, damage, cost, claim or expense, whether preventative, remedial, or otherwise, directly or indirectly arising out of or relating to the recognition, interpretation, calculation, comparison, differentiation, sequencing or processing of data by any computer system including any hardware, programs or software.

However, we will not pay for any loss, damage, cost or expense under this endorsement for which coverage is provided by the **BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, CONDOMINIUM ASSOCIATION COVERAGE FORM CP 00 17 or CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM CP 00 18**, whichever is applicable and the **CAUSES OF LOSS - BASIC FORM CP 10 10** and endorsements thereto.

Section **B. Exclusions, 1.e. Utility Services** is amended to add the following:

e. Utility Services

Loss resulting from “Equipment Breakdown” to power or other utility service supplied to the described premises if the failure occurs beyond 1,000 feet from the described premises. Failure includes lack of sufficient capacity and reduction in supply.

But if failure of power or other utility service results in an “Equipment Breakdown”, we will pay for the loss or damage caused by that “Equipment Breakdown”.

However, we will not pay for any loss, damage, cost or expense under this endorsement for which coverage is provided by the **BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, CONDOMINIUM ASSOCIATION COVERAGE FORM CP 00 17 or CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM CP 00 18**, whichever is applicable and the **CAUSES OF LOSS - BASIC FORM CP 10 10** and endorsements thereto.

This exclusion does not apply to the Business Income coverage or to Extra Expense coverage. Instead the Special Exclusion in paragraph **B.3.a (1)** applies to these coverages.

The following Exclusions are deleted in their entirety:

- 2. a. Electrical Disturbances**
- 2. d. Steam Explosion**
- 2. e. Mechanical breakdown**

Special Exclusions 3.a.(1) is deleted in its entirety and replaced with the following:

3. Special Exclusions

- a. Business Income (And Extra Expense) Coverage Form, Business Income (Without Extra Expense) Coverage Form, or Extra Expense Coverage Form**

We will not pay for:

- (1) Any loss caused directly or indirectly by the failure of power or other utility service supplied to the described premises, however caused, if the failure occurs outside of a covered building. Failure includes lack of sufficient capacity and reduction in supply.**

However, we will pay for loss resulting in a Business Income or Extra Expense loss due to an “Equipment Breakdown” to covered equipment that occurs on or within 1,000 feet of the described premises.

If the failure of power or other utility service results in a Covered Cause of Loss, we will pay for the loss resulting from that Covered Cause of Loss.

However, we will not pay for any loss, damage, cost or expense under this endorsement for which coverage is provided by the **BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, CONDOMINIUM ASSOCIATION COVERAGE FORM CP 00 17 or CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM CP 00 18**, whichever is applicable and the **CAUSES OF LOSS - BASIC FORM CP 10 10** and endorsements thereto.

The following **Additional Coverage Extensions** are added:

- 1. Expediting Expense**

At our sole discretion, we will pay for the expediting expense loss resulting from an “Equipment Breakdown” causing damage to **Covered Property**. We will pay the “reasonable extra cost” to:

- a. Make temporary repairs; and
- b. Expedite permanent repairs; and
- c. Expedite permanent replacement.

“Reasonable extra cost” shall mean the extra cost of temporary repair and of expediting the repair of such damaged equipment of the insured, including overtime and the extra cost of express or other rapid means of transportation which will be a part of and not an addition to the limit shown on the Declarations Page.

2. Refrigerant Contamination

We will pay for contamination by a refrigerant resulting from “Equipment Breakdown” causing damage to **Covered Property**.

The most we will pay for loss or damage under this coverage is the limit shown in the Declaration for Business Personal Property or \$250,000, whichever is less, unless a higher limit is provided by endorsement. In that case, whichever limit is greater will apply. This payment may be adjusted for salvage expenses or recoveries, if any.

3. Spoilage Coverage

We will pay for loss of perishable goods due to spoilage resulting from lack of power, light, heat, steam or refrigeration caused by “Equipment Breakdown” to types of property covered by this policy, that are:

- a. located on or within 1,000 feet of the described premises;
- b. owned or used by you, owned by the building owner at the described premises, or owned by a public utility; and
- c. used to supply telephone, electricity, air conditioning, heating, gas, water or steam to the described premises.

However, we will not pay for any loss, damage, cost or expense under this endorsement for which coverage is provided by the **BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, CONDOMINIUM ASSOCIATION COVERAGE FORM CP 00 17 or CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM CP 00 18**, whichever is applicable and the **CAUSES OF LOSS - BASIC FORM CP 10 10** and endorsements thereto.

The most we will pay for loss or damage under this coverage is the limit shown in the Declaration for Business Personal Property or \$250,000, whichever is less, unless a higher limit is provided by endorsement. This payment may be adjusted for salvage expenses or recoveries, if any.

Section **E. Definitions**, is amended by addition of the following:

“Green” means products, materials, methods and processes certified by a “Green Authority” that conserve natural resources, reduce energy or water consumption, avoid toxic or other polluting emissions or otherwise minimize environmental impact.

“Green Authority” means an authority on “Green” buildings, products, materials, methods or processes certified and accepted by Leadership in Energy and Environmental Design (LEED®), “Green” Building Initiative Green Globes®, Energy Star Rating System or any other recognized “Green” rating system.

“Production machinery” means any machine which processes, forms, shapes, or transports raw materials, materials in process, waste materials or finished products.

All other terms and conditions of this policy remain unchanged. This endorsement is a part of your policy and takes effect on the effective date of your policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

CAUSES OF LOSS – BASIC FORM
CAUSES OF LOSS – BROAD FORM

THEFT EXCLUSION

A. Covered Causes of Loss, Paragraph 8. is deleted and replaced with the following:

- 8.** Vandalism, meaning willful and malicious damage to or destruction of the described property.

We will not pay for loss or damage to the building or personal property caused by or resulting from theft, attempted theft, larceny, burglary or any other act of stealing whether occurring separately from or concurrently with vandalism, except for building damage at the point of entry into the interior of the building or exiting from the interior of the building by the perpetrators.

All other terms and conditions of this policy remain the same. This endorsement is a part of your policy. It takes effect on the effective date of your policy unless another date is shown.

This endorsement changes insurance provided under the following:

BUILDING AND PERSONAL PROPERTY COVERAGE FORM

ABSOLUTE EXCLUSION FOR POLLUTION

The following supersedes the terms and conditions of this policy. This insurance does not apply to:

any loss, cost, damage or expense arising out of, related to, resulting from, in concurrence or in any sequence with, or which involves, directly or indirectly, in whole or in part, any actual, alleged or threatened:

1. existence of;
 2. exposure to;
 3. transmission of;
 4. absorption of;
 5. discharge of;
 6. dispersal of;
 7. seepage of;
 8. release of;
 9. escape of;
 10. remediation of; or
 11. contact with;
- any "pollutants".

This exclusion applies whether or not any of the foregoing are:

1. sudden, accidental or gradual in nature; or
2. expected or intended from the standpoint of any insured.

This exclusion applies whether or not such "loss", cost, damage or expense arises out of or is caused by, in whole or in part, any actual or alleged:

1. devaluation of property;
2. direct physical loss of or damage to Covered Property;
3. loss of Business Income you sustain due to the necessary suspension of your "operations" during the "period of restoration";
4. extra expense you incur during the "period of restoration";
5. the taking or use of any person's or entity's property or air space, or the acquisition of or interference with the rights of any person or entity in such property or air space;
6. the testing, monitoring, clean-up, removal, disposal, containment, mitigation, treatment, detoxification or neutralization of any "pollutants" or the failure to do any of the foregoing;
7. the failure to prevent or limit the spread of any "pollutants";
8. the failure to warn or provide sufficient warning of any "pollutants";
9. the failure to report any "pollutants" to any federal, state or local government agency, body or department having authority or responsibility for public health;
10. any response to or assessment of the actual or alleged effects of any "pollutants";
11. any litigation or regulatory or administrative proceeding in which any insured may be a party;
12. any water damage or the failure to disclose water damage; or

13. any other action or failure to take action, whether or not related to any of the above, that caused or resulted in or is alleged to have caused or resulted in, directly or indirectly, any loss, cost, damage or expense.

This exclusion applies even if the “pollutants” have a function in or are used by you in your:

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| 1. business; | 4. premises; |
| 2. products; | 5. site; or |
| 3. operations; | 6. location. |

H. Definitions 2. deleted in its entirety and replaced with the following:

“Pollutants” mean[s] any:

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| 1. solid; | 5. fungal; |
| 2. liquid; | 6. electromagnetic; |
| 3. gaseous; | 7. thermal; or |
| 4. bacterial; | 8. other; |

substance or material that can be toxic or hazardous; or cause contamination or irritation to persons, animals, property or the environment, including, but not limited to:

- | | |
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| 1. smoke; | 7. alkalis; |
| 2. vapor; | 8. chemicals; |
| 3. soot; | 9. “volatile organic compound”; |
| 4. fumes; | 10. radon; |
| 5. gases; | 11. combustion byproducts; and |
| 6. acids; | 12. “waste”. |

Specific examples identified as “pollutants” include, but are not limited to:

- | | |
|---|-------------------------------|
| 1. diesel, kerosene and other fuel oils; | 8. dry cleaning chemicals; |
| 2. carbon monoxide and other exhaust gases; | 9. chlorofluorocarbons; |
| 3. mineral spirits and other solvents; | 10. chlorinated hydrocarbons; |
| 4. tetrachloroethylene; | 11. adhesives; |
| 5. perchloroethylene (PERC); | 12. pesticides; |
| 6. trichloroethylene (TCE); | 13. insecticides; and |
| 7. methylene chloroform; | |

14. all substances specifically listed, identified, or described as “pollutants” by one or more of the following references:
 - a. **Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA) Priority List Hazardous Substances;**
 - b. **Agency for Toxic Substances And Disease Registry ToxFAQs™;**
 - c. **U.S. Environmental Protection Agency EMCI Chemical References Complete Index;** or
 - d. Any hazardous substance list maintained by any state, county or other government agency or department.

H. Definitions, 2. is amended to include the following definitions:

“Volatile organic compound” means any organic compound which discharges, emits or releases gases. Examples include, but are not limited to:

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| 1. formaldehyde; | 5. solvents; |
|------------------|--------------|

- | | |
|---|-----------------------|
| 2. pesticides; | 6. paints; |
| 3. adhesives; | 7. varnishes; and |
| 4. construction materials made
with organic chemicals; | 8. cleaning products. |

“Waste” means any property intended to be disposed, recycled, reused or reclaimed by the owner or user thereof.

All other terms and conditions of this policy are the same. This endorsement is a part of your policy. It takes effect on the effective date of your policy unless another effective date is shown.

This endorsement changes insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE FORM

ABSOLUTE EXCLUSION FOR POLLUTION, INFECTIOUS AGENT, MOLD, SILICA, AND ASBESTOS WITH A HOSTILE FIRE EXCEPTION FOR POLLUTION ONLY AND WITH A FOOD BORNE ILLNESS EXCEPTION

SECTION I – COVERAGES, COVERAGE A. BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph **2. Exclusions, f. Pollution** is deleted in its entirety and replaced with the following:

Pollution, Infectious Agent, Mold, Silica and Asbestos

1. “bodily injury”;
2. “property damage”;
3. “personal and advertising injury”; or
4. medical expenses;

arising out of, related to, resulting from, in concurrence or in any sequence with, or which involves, directly or indirectly, in whole or in part, any actual, alleged or threatened:

1. existence of;
2. exposure to;
3. transmission of;
4. ingestion of;
5. inhalation of;
6. absorption of;
7. discharge of;
8. dispersal of;
9. seepage of;
10. release of;
11. escape of;
12. remediation of; or
13. contact with;

any “pollutants”, “infectious agent”, mold, “silica” or asbestos.

This exclusion applies whether or not any of the foregoing are:

1. sudden, accidental or gradual in nature; or
2. expected or intended from the standpoint of any insured.

This exclusion applies whether or not such “bodily injury”, “property damage”, “personal and advertising injury” or medical expenses arise out of or are caused by, in whole or in part, any actual or alleged negligence or other wrongdoing with respect to:

1. the devaluation of property;
2. the taking or use of any person’s or entity’s property or air space, or the acquisition of or interference with the rights of any person or entity in such property or air space;
3. the testing, monitoring, clean-up, removal, disposal, containment, mitigation, treatment, detoxification or neutralization of any “pollutants”, “Infectious agent”, mold, “silica” or asbestos or the failure to do any of the foregoing;

4. the failure to prevent or limit the spread of any “pollutants”, “Infectious agent”, mold, “silica” or asbestos;
5. the failure to warn or provide sufficient warning of any “pollutants”, “Infectious agent”, mold, “silica” or asbestos;
6. the failure to report any “pollutants”, “Infectious agent”, mold, “silica” or asbestos to any federal, state or local government agency, body or department having authority or responsibility for public health;
7. any response to or assessment of the actual or alleged effects of any “pollutants”, “Infectious agent”, mold, “silica” or asbestos;
8. any litigation or regulatory or administrative proceeding in which any insured may be a party;
9. any water damage or the failure to disclose water damage; or
10. any other action or failure to take action, whether or not related to any of the above, that caused or resulted in or is alleged to have caused or resulted in, directly or indirectly, any “bodily injury”, “property damage”, “personal and advertising injury” or medical expense.

This exclusion applies even if the “pollutant”, “infectious agent”, mold, “silica” or asbestos has a function in or is used by you in your:

1. business;
2. products;
3. operations;
4. premises;
5. site; or
6. location.

Hostile Fire Exception

This exclusion does not apply to "bodily injury", "property damage", "personal and advertising injury" or medical expense arising out of heat, smoke, or fumes from a "hostile fire" unless that "hostile fire" occurred or originated:

- (1) at any premises, site or location which is or was at any time used by or for any insured or others for the handling, storage, disposal, processing, or treatment of “waste”; or
- (2) at any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations to test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize, or, in any way, to respond to or assess the effects of, "pollutants", “Infectious agent”, mold, “silica” or asbestos.

Food Borne Illness Exception

This exclusion does not apply to “bodily injury”, “property damage”, “personal and advertising injury” or medical expense arising from the consumption of food products intended for human consumption.

SECTION V – DEFINITIONS - Paragraph 15 is deleted in its entirety and replaced with the following:

“Pollutants” mean[s] any:

1. solid;
2. liquid;
5. fungal;
6. electromagnetic;

3. gaseous; 7. thermal; or
4. bacterial; 8. other;
substance or material that can be toxic or hazardous; or cause contamination or irritation to persons, animals, property or the environment, including, but not limited to:

1. smoke;
2. vapor;
3. soot;
4. fumes;
5. gases;
6. acids;
7. alkalis;
8. chemicals;
9. "volatile organic compound";
10. radon;
11. combustion byproducts; and
12. "waste".

Specific examples identified as "pollutants" include, but are not limited to:

1. diesel, kerosene and other fuel oils;
2. carbon monoxide and other exhaust gases;
3. mineral spirits and other solvents;
4. tetrachloroethylene;
5. perchloroethylene (PERC);
6. trichloroethylene (TCE);
7. methylene chloroform;
8. dry cleaning chemicals;
9. chlorofluorocarbons;
10. chlorinated hydrocarbons;
11. adhesives;
12. pesticides;
13. insecticides; and

14. all substances specifically listed, identified, or described as "pollutants" by one or more of the following references:

- a. **Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA) Priority List Hazardous Substances;**
- b. **Agency for Toxic Substances And Disease Registry ToxFAQs™;**
- c. **U.S. Environmental Protection Agency EMCI Chemical References Complete Index;** or
- d. Any hazardous substance list maintained by any state, county or other government agency or department.

"Pollutants" does not include lead.

SECTION V – DEFINITIONS is amended to include the following definitions:

"Infectious Agent" means any organic irritant or contaminant, including but not limited to:

1. virus;
 2. pathogen;
 3. bacterium;
 4. toxin;
 5. fungus;
 6. protozoan;
 7. prion or other abnormal protein;
 8. parasite or other organism;
 9. any byproducts of 1 through 8 above including but not limited to mycotoxin, mildew and any biogenic aerosol;
- whether or not endemic, epidemic or pandemic or of a local, regional, national or international concern.

“Silica” means silica in any form and any of its derivatives, including but not limited to:

1. silica dust;
2. silicon dioxide;
3. crystalline silica;
4. quartz; and
5. non-crystalline (amorphous) silica.

“Volatile organic compound” means any organic compound which discharges, emits or releases gases. Examples include, but are not limited to:

- | | |
|---|-----------------------|
| 1. formaldehyde; | 5. solvents; |
| 2. pesticides; | 6. paints; |
| 3. adhesives; | 7. varnishes; and |
| 4. construction materials made
with organic chemicals; | 8. cleaning products. |

“Waste” means any property intended to be disposed, recycled, reused or reclaimed by the owner or user thereof.

All other terms and conditions of this policy are the same. This endorsement is a part of your policy. It takes effect on the effective date of your policy unless another effective date is shown.



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